

Model Development Standard

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Applies to: Pricing

Fictional policy written for a software demonstration. Kestrel Mutual is an invented organization. This is not real policy, law or regulatory guidance.

1 Scope

This standard applies to statistical and machine-learning models used to price Kestrel Mutual products.

2 Data

2.1 Approved data sources

Model training may use only data sources that are listed in the model's data specification and approved by the data owner.

2.2 Training data retention

Datasets used to train a pricing model are kept for the life of that model plus three years, so that its outputs can be reproduced.

2.3 Direct identifiers

Direct identifiers such as names, email addresses and phone numbers must be removed from training datasets unless the model's data specification records why they are needed.

3 Validation

3.1 Independent validation

Before a pricing model goes live, a validator who did not build it must review its performance and fairness tests.

3.2 Monitoring

Live pricing models are monitored monthly. A model whose monitored error exceeds the tolerance in its specification for two consecutive months must be reviewed by its validator.